ACQUISITION PACKAGE

1237 Hollmig Ln, Fredericksburg, TX 78624

Investor-facing acquisition memo built strictly from the research brief. The current list-level basis does not support wholesale, long-term rental, or clean flip execution; the only investable lane is a diligence-heavy STR/hybrid path at a materially lower basis.

CURRENT RECOMMENDATION

PASS at Current Ask

Current ask: **$525,000**. Recommendation applies across wholesale, LTR hold, and list-basis flip scenarios.

ONLY RE-OPEN IF

Conditional Pursue

Only if STR legality for both the main house and guest suite is verified and the seller will transact at a materially lower basis.

LIST PRICE

$525,000

CONFIGURATION

3 Bed / 2 Bath

LIVING AREA

2,659 sf

LOT SIZE

3.5 acres

CAD 2025 VALUE

$421,650

01 / SUBJECT OVERVIEW

Property Snapshot

Core subject facts and listing-level positioning. These items are presented as factual extracts from the brief.

Subject Facts

Address	1237 Hollmig Ln, Fredericksburg, TX 78624
MLS	104279
Status	Active
List Price	$525,000
Beds / Baths	3 / 2
Living Area	2,659 sf
Lot Size	3.5 acres
Reported Year Built	1941
DOM Proxy	4 days on website (RE/MAX)
Listing Office	Century 21 the Hills Realty, Bryan Smith

Listing Description Highlights

- Minutes from Main Street in Fredericksburg.
- Llano flagstone rock home with original wood floors, fireplace, fresh paint, and front porch.
- 3.5 acres in the ETJ.
- Fully updated guest suite in 2018 with living room, kitchen, bathroom, and bedroom.
- Insulated workshop with window unit and 40-foot sea container for storage.

- Approximate proximity markers: 1.9 miles from hospital and 1.6 miles to high school.

ETJ location | Guest suite called out in listing | Acreage-residential setup | Fredericksburg hospitality adjacency

02 / PUBLIC EVIDENCE

Source-Backed Evidence Base

The memo relies on listing and public-record support. Evidence quality weakens where public portal access was blocked.

RE/MAX Listing Extract

- URL documented in the research brief.
- Confirms $525,000 ask, 3 bed / 2 bath, 2,659 sf, built in 1941.
- Confirms $197/sf, 3.5 acre lot, and 4 days on website.
- Confirms the listing description details used in this package.

Gillespie CAD Extract

- Situs shown as 1237 HOLLMIG LN OFF BILLIE DR, TX.
- Legal shown as Vineyard Estates Lot 9, 3.502 acres, homesite.
- Neighborhood shown as South of City, Near City.
- 2025 market value / appraised / assessed value: $421,650.
- 2025 estimated taxes: about $4,413.31.

DATA CAVEAT

Zillow was blocked by bot detection. Realtor, Redfin, and Coldwell Banker were partially blocked. Same-street public comps were recoverable mainly from snippets rather than clean sold pages. CAD and listing data should be reconciled with title, MLS, and GIS before making an offer.

03 / RECORDS TIMELINE

Listing and Public Record Chronology

The available timeline is sufficient for basic orientation, but not a substitute for title or MLS file review.

Deed History

DATE	RECORDED INSTRUMENT
7/2/2018	Special Warranty Deed
6/11/2001	Warranty Deed Vendors Lien
3/31/1994	Warranty Deed Vendors Lien

Roll Value History

YEAR	VALUE
2025	$421,650
2024	$440,000
2023	$440,000
2022	$394,500
2021	$321,750
2020	$273,000
2019	$273,000
2018	$248,740

YEAR	VALUE
2017	$232,830

04 / COMP HIERARCHY

Comparable Evidence Ladder

Same-street relevance exists, but the public comp set is incomplete and the sold-price layer is materially under-verified.

RANK	PROPERTY	PUBLIC READ-THROUGH	WHY IT MATTERS	LIMITATION
1	1304 Hollmig Ln	Active at $2,250,000 on ~11.77 acres with 12 modern container cabins operating as an STR business.	Strong same-street evidence that Hollmig Ln can support hospitality-oriented demand.	Product is far more commercialized than the subject.
2	1149 Hollmig Ln	Snippet indicates 3/2, 1,496 sf, built 2013, ~2.9 acres, farmhouse setting, guest house.	Same-street acreage-residential relevance.	Public sold price inaccessible.
3	1153 Hollmig Ln	Off market, 1 bath, 1,910 sf, built 2016, ~2.56 acres.	Useful locational support for same-street acreage product.	Limited public details and no sold-price support.
4	1035 Hollmig Ln	Off market, built 1983.	Locational support only.	Very limited public detail.

Neighborhood Bucket

CAD places the subject in Vineyard Estates, but public-accessible data was sparse for additional Vineyard Estates sold comps.

1-Mile / 5-Mile Search Problem

Clean sold comps were not reliably accessible from public portals due to anti-bot blocks, rural inventory sparsity, and the prevalence of off-market records.

05 / MARKET REVENUE CONTEXT

LTR and STR Revenue Evidence

Public rental cards provide a practical LTR ask band. STR proxies point to a viable ADR range only if the property can legally support the intended use.

Fredericksburg LTR Proxies

ADDRESS	CONFIGURATION	ASK RENT
510 S Olive St	3/2, 1,335 sf	$2,950/mo
107 Crestwood Dr	3/2, 1,346 sf	$1,900/mo
717 Darlington Dr	3/2	$2,300/mo
718 Shumard Ln	3/2, 1,960 sf	$2,750/mo
404 W Nimitz St	3/2, 1,682 sf	$2,850/mo
210 Dudley Way	3/2, 2,297 sf	$3,000/mo
612 W Hackberry St	3/2, 1,953 sf	$3,000/mo
207 Skylark Dr	3/2, 1,440 sf	$1,900/mo
201 Bending Oaks Trl	3/2, 1,901 sf	$2,950/mo
1009 Avenue D	3/2, 1,765 sf	$3,400/mo
611 N Adams St	3/2, 1,600 sf	$2,500/mo

Interpretation from the brief: standard 3/2 Fredericksburg LTR ask band is roughly $1,900 to $3,400 per month, with a practical central band around the mid-$2k to low-$3k range.

Public STR ADR Proxies

USE TYPE	EXAMPLE RATE	BRIEF INTERPRETATION
Whole-home 2BR	$571 / 5 nights (~$114/night)	Low-end public whole-home example.
Whole-home 3BR	$915 / 5 nights (~$183/night)	Fits the conservative non-luxury band.
Whole-home 3BR retreat	$1,742 / 5 nights (~$348/night)	Higher-performing outlier with stronger positioning.
Walk-to-Main 3BR	$1,131 / 5 nights (~$226/night)	Upper end of conservative band.
Guest-suite-style 1BR	$450 to $602 / 5 nights (~$90 to $120/night)	Supports the guest-suite ADR band used in the brief.

Interpretation from the brief: conservative non-luxury 3BR STR ADR band is roughly $175 to $225 per night; guest-suite ADR band is roughly $90 to $120 per night.

06 / FINANCING PLANS

Underwriting Assumptions and Purchase Cases

The financing section intentionally distinguishes assumptions from computed scenario outputs already contained in the brief.

DSCR Purchase Assumptions

- 75% LTV
- 8.0% interest
- 30-year amortization
- 2 points origination
- 3% closing costs
- Taxes: $4,413.31/year from Gillespie CAD
- Insurance placeholder: $3,150/year

Hard Money Assumptions

- 90% purchase financing
- 12% interest-only
- 2 points
- 3% closing costs
- 6-month hold for flip / bridge scenarios

Assumption Boundary

These are package assumptions from the brief, not verified market quotes or loan terms. They are suitable for directional underwriting only.

SCENARIO	LOAN / CARRY	CASH REQUIREMENT	MONTHLY DEBT SERVICE	READ-THROUGH
DSCR at $525,000	$393,750 loan	$154,875 cash to close	$3,519.47 monthly PITI	Current ask sets a heavy debt-service burden.
DSCR at $475,000	Assumptions per brief	$140,125 cash to close	$3,244.31 monthly PITI	Improves basis but remains tight relative to LTR evidence.
DSCR at $425,000	Assumptions per brief	$125,375 cash to close	$2,969.15 monthly PITI	Lower basis begins to open a viable STR/hybrid lane.
Hard money at $525,000 + $60,000 rehab	$4,725 monthly interest-only	$137,700 initial cash including rehab	$28,350 six-month interest carry	Total cash before sale costs: $166,050.

ASSUMPTION DISCIPLINE

Insurance and financing terms above are placeholders or package assumptions. The strategy recommendation should not be upgraded without borrower-specific terms and verified property-operating constraints.

07 / STRATEGY COMPARISON

Execution Lanes at the Current Ask

This matrix converts the brief's underwriting results into a strategy-level view. The conclusions remain conservative because evidence quality is not clean enough to support an aggressive basis.

STRATEGY	WHAT THE BRIEF SAYS	BASIS SENSITIVITY	DECISION
Wholesale	Current ask is not a wholesale deal. If ARV is only $525,000, wholesale MAO is about $287,500; if ARV is $560,000, about $312,000; if ARV is $600,000, about $340,000.	Requires a basis far below list.	**Pass**
Fix & Flip	Using $60,000 rehab, 8% sale costs, and a $30,000 profit target, max flip buy is about $393,000 at $525,000 ARV, about $425,200 at $560,000 ARV, and about $462,000 at $600,000 ARV.	Not safe at list unless resale value is materially higher and rehab is very light.	**Pass**
Long-Term Rental Hold	At $525,000 purchase, DSCR ranges roughly 0.47 to 0.57 using $2,800 to $3,200 rents. At $475,000 it ranges 0.51 to 0.62. At $425,000 it ranges 0.56 to 0.67.	Pure LTR does not support DSCR debt at any modeled purchase point.	**Pass**
STR / Hybrid Hold	Combined main-house plus guest-suite STR cases range about 0.59 to 1.02 at $525,000, 0.64 to 1.10 at $475,000, and 0.69 to 1.21 at $425,000.	Only works if guest suite is legally rentable, operating performance lands near the upper end of public ADR evidence, and basis is negotiated down.	**Conditional Pursue**

DECISION LOGIC

The brief explicitly concludes that pure LTR does not support DSCR debt and that current ask is not a wholesale deal. STR/hybrid is the only lane that reaches plausibility, and only under better basis plus legality confirmation.

08 / RISKS AND CAVEATS

What Can Break the Thesis

This deal cannot be upgraded on narrative alone. The unresolved items are structural, not cosmetic.

Primary Risk Set

- Portal blocking prevented a clean, public sold-comp package for same-street, neighborhood, and broader radius support.
- The STR case depends on legality in the ETJ / county for both the main house and the guest suite.
- Separate-rental viability of the guest suite is not verified by the brief.
- Septic, parking, and utility capacity for dual-accommodation use are unverified.

Reconciliation Items

- Title, GIS, MLS, and CAD should be reconciled before any offer decision.
- Property identity and improvement set need confirmation against the listing narrative.
- Neighborhood-bucket evidence was limited by rural inventory sparsity and portal access issues.
- Loan terms and insurance are modeled assumptions, not lender-issued confirmations.

IMPORTANT CAVEAT

This package is intentionally data-first and conservative. Where support is inferential, it is labeled as such. No recommendation here should be read as a substitute for verified county, title, lender, septic, parking, utility, or STR-permit diligence.

09 / FINAL RECOMMENDATION

Disposition Decision

The investment committee answer is straightforward at the current ask. Only one narrow path remains open, and it is contingent on diligence plus basis discipline.

PASS AT CURRENT ASK

Do not advance this asset at $525,000 as a wholesale, flip, or LTR acquisition.

The brief supports a clear pass at the current list price. Wholesale does not work, flip economics are not safe at list, and pure LTR debt coverage fails across the modeled purchase points.

The only potential re-entry path is a hybrid STR thesis that assumes both the main house and the guest suite can be rented legally and functionally. Even then, the package conclusion requires a materially lower basis, ideally into the low-to-mid $400s depending on diligence findings.

CONDITIONAL PURSUE ONLY IF

- STR legality is confirmed in the ETJ / county for both the main house and the guest suite.
- Separate-rental viability of the guest suite is confirmed.
- Septic, parking, and utility capacity support dual-accommodation use.
- Title, GIS, MLS, and property-identity reconciliation are clean.
- Seller will negotiate materially below list, ideally into the low-to-mid $400s depending on diligence findings.

Prepared from the facts, assumptions, and recommendation direction contained in `research_brief.md`. No external data was added.